



PROJECT PROPOSAL

NIB-Control360

Internal Control Findings Management System (ICFMS)

Prepared for:
NIB International Bank

Business Owner:
Internal Control Division

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Version: 1.0
Date: August 2026

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Project Type:

Digital Transformation Initiative

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1. Executive Summary

NIB International Bank has made significant progress in digitizing its core banking and operational processes. However, the Internal Control Division still relies heavily on manual Excel-based processes for collecting, consolidating, tracking, verifying, and reporting Internal Control findings across branches and districts.

The current process requires multiple exchanges of Excel files between Branch Internal Controllers, District Internal Controllers, Head Office Internal Controllers, Branch Management, and Head Office, resulting in repetitive manual work, delays, duplicate data entry, version control challenges, and limited real-time visibility.

To address these challenges, this proposal recommends the development of a web-based **Internal Control Findings Management System (ICFMS)** that will automate the complete lifecycle of Internal Control findings, from finding registration through rectification, verification, performance measurement, reporting, and management dashboards.

The proposed solution will improve operational efficiency, strengthen governance, enhance transparency, provide real-time monitoring, and support better management decision-making.

2. Background

Currently, Branch Internal Controllers perform monthly internal control reviews and prepare findings using standardized Excel templates.

The process involves:

Branch Internal Controllers prepare monthly findings.

Reports are submitted to District Internal Controllers.

District Internal Controllers consolidate all branch reports.

Consolidated reports are forwarded to Head Office Internal Controllers.

Head Office applies formulas and generates performance results.

Results are returned to districts.

Districts distribute reports to Branch Managers.

Branch Managers implement corrective actions.

Rectification status is reported back.

District Controllers verify submissions.

Consolidated reports are again submitted to Head Office.

Head Office prepares management reports.

This process is repeated every month.

In addition, the Head Office Internal Audit Department performs independent branch visits. Their findings are currently managed separately and later incorporated into the Internal Control reporting process for overall performance calculation.

3. Problem Statement

The current manual Excel-based process has several limitations:

Repetitive manual data consolidation.

Multiple versions of the same Excel file.

High risk of human error.

Delayed reporting.

Lack of real-time monitoring.

Limited management visibility.

No centralized findings repository.

Difficulty tracking transferred findings.

Time-consuming performance calculations.

Limited historical analysis.

Dependency on Excel formulas.

4. Project Objective

To develop a centralized web-based Internal Control Findings Management System that automates the complete Internal Control findings management process.

5. Specific Objectives

The proposed system will:

Centralize all Internal Control findings.

Eliminate manual Excel consolidation.

Automate workflow.

Automate notifications.

Calculate performance automatically.

Track outstanding findings.

Manage transferred cases.

Generate dashboards.

Produce executive reports.

Improve accountability.

Support future digital transformation initiatives.

6. Scope of the Project

The system shall include:

User Management

User registration

Role management

Branch assignment

District assignment

Permission management

Findings Management

Finding registration

Finding editing

Submission

Approval

Verification

Closure

Finding Sources

Initially, the system will support:

Internal Control Findings

Branch Internal Controllers will directly register findings into the system.

Head Office Internal Audit Findings

Since Internal Audit is a separate department, they will continue using their existing process. Head Office Internal Controllers will manually register Internal Audit findings into the system for performance calculation and centralized reporting.

The system architecture should allow future direct integration with the Internal Audit Department.

Case Transfer Management

The system shall support case transfer functionality.

If an outstanding finding continues into the next reporting month:

The finding shall be transferred.

The original month shall no longer include the transferred case in its performance calculation.

The transferred month becomes responsible for the performance impact.

Full transfer history shall be maintained.

Multiple consecutive transfers shall be supported.

Performance Management

Current business rule:

For Internal Control findings, the performance percentage is calculated using findings classified under

Other Cases.

Example:

Total Other Cases = 120

Rectified Cases = 60

Performance = $(60 \div 120) \times 100 = 50\%$

Other classifications (ATM(Mismatch & Long O/S), IT, Dormant, Zero Balance, Ck Book) will be stored and reported but will not initially affect the performance percentage.

The system must be configurable so these categories can be included in future scoring without redesign.

Internal Audit findings follow their own scoring methodology, and the system will combine both results into the District's cumulative performance score.

Evidence Management

Evidence upload shall be optional.

Where physical verification is possible, Branch Internal Controllers may approve findings without uploaded evidence.

District and Head Office Internal Controllers may request supporting documents whenever physical verification is not possible.

Notifications

Automatic notifications shall be generated for:

New findings

Pending rectification

Overdue findings

Verification requests

Returned findings

Transfer completion

Comments

The system shall integrate with the bank's Microsoft Outlook email environment.

Management Dashboard

Dashboards shall provide:

District performance

Branch performance

Outstanding findings

High-risk findings

Repeat findings

Transfer statistics

Monthly trends

Executive summaries

District Directors shall have view and comment access.

7. Expected Benefits

The project will deliver:

Reduced manual work

Faster reporting

Improved data accuracy

Centralized information

Better accountability

Real-time monitoring

Improved management decisions

Increased operational efficiency

Stronger governance

Better regulatory readiness

8. Success Factors

The project will be considered successful when:

Excel-based consolidation is eliminated.

Performance is automatically calculated.

All findings are centrally stored.

Reports are generated automatically.

Management dashboards are available in real time.

Users adopt the system successfully.

9. Risks

Potential risks include:

Resistance to change.

User training requirements.

Data migration challenges.

Integration with existing infrastructure.

Initial implementation effort.

These risks can be mitigated through phased implementation, user training, pilot testing, and continuous stakeholder engagement.

10. Recommendations

It is recommended that NIB International Bank approve the development of the Internal Control Findings Management System as a strategic digital transformation initiative.

The project should be implemented in phases, beginning with Internal Control operations while maintaining compatibility for future integration with Internal Audit and other control-related functions.

The solution should be designed as a scalable, secure, configurable, and enterprise-grade platform capable of supporting the bank's future operational and governance requirements.

11. Conclusion

The proposed Internal Control Findings Management System will replace manual Excel-based reporting with an integrated digital platform that improves efficiency, transparency, accountability, and decision-making.

By automating workflows, supporting case transfers, enabling real-time monitoring, and providing comprehensive reporting and dashboards, the system will strengthen the Internal Control Division's effectiveness and contribute to the bank's broader digital transformation strategy.